REPORTABLE (14)

IATRIC INVESTMENTS (PRIVATE) LIMITED
v
DERIDON CHARTERED ACCOUNTANTS ZIMBABWE

SUPREME COURT OF ZIMBABWE
MAKONI JA, CHITAKUNYE JA & CHATUKUTA JA
HARARE: 27 MAY 2025

L. Majoni, for the appellant

N.G. Nyatsambo, for the respondent

MAKONI JA:

1. This is an appeal against the whole judgment of the High Court (court *a quo)* handed down on 21 March 2025. The court *a quo* upheld a preliminary objection raised by the respondent that the appellant's appeal was defective for want of leave to appeal against an interlocutory order rendered by the Magistrates' Court (trial court).

2. After hearing submissions from counsel, the Court allowed the appeal and issued the following order.

    1. The appeal be and is hereby allowed with costs.

    2. The order of the court *a quo* be and is hereby set aside and substituted with the following:
        "(a). The preliminary objection be and is hereby dismissed."

    3. The matter be and is hereby remitted to the court *a quo* for the determination of the merits.

3. The Court advised the parties that reasons will be furnished in due course. These are the reasons for upholding the appeal.

FACTUAL BACKGROUND

4. The parties entered into two engagement agreements for the provision of advisory services by the respondent to the appellant. Under the first agreement, the respondent was engaged to render advisory services and compile a report to facilitate a shareholder buy-out, for which the appellant would pay the respondent a total fee of US$12 400.00. The second agreement required the respondent to prepare an information memorandum packaging a report on the appellant's proposed hospital project, for which the appellant would pay a fee of US$15 500.00. The parties agreed that the fees would be paid in instalments, the last instalment being 40% of the total fees payable upon finalisation of the assignment.

5. The respondent contended that whilst it discharged its contractual obligations under both agreements, the appellant failed to remit the last instalment being 40% of the agreed fees amounting to US$13 510.00.

PROCEEDINGS BEFORE THE TRIAL COURT

6. In pursuit of the outstanding amount, the respondent issued summons against the appellant in the Magistrates' Court.

7. In response to the summons, the appellant entered a special plea that the respondent lacked the requisite *locus standi* to sue, as it was not registered with the Public Accountants and Auditors Board (the Board) as is required in terms of the Public Accountants and Auditors Act [*Chapter 27:12*].

8. The appellant contended that the Board had confirmed that the respondent's registration had lapsed on 30 June 2023 and had not been renewed thereafter. Given that the summons was issued on 17 November 2023, the appellant argued that the respondent lacked the legal capacity to litigate.

9. The appellant further submitted that, in terms of the Chartered Accountants Act [*Chapter 27:02*], registration with the Institute of Chartered Accountants of Zimbabwe is a statutory prerequisite for any person or entity offering public accountancy and auditing services in Zimbabwe. As the respondent was not so registered, it was, in the appellant's view, acting unlawfully and without standing. It contended that the suit was a nullity.

10. The respondent opposed the special plea, raising a procedural objection. It argued that pleadings had closed on 18 March 2024, and the appellant was therefore precluded from filing any further pleadings. It maintained that a special plea must be raised *initio litis* and that any failure to do so amounted to a waiver or tacit condonation of the alleged irregularity. It argued that the appellant had forfeited the right to raise the issue of *locus standi* at a later stage.

11. The trial court dismissed this special plea, holding that the respondent was properly before it.

PROCEEDINGS BEFORE THE COURT *A QUO*

12. Dissatisfied with the ruling of the trial court, the appellant proceeded to lodge an appeal before the court *a quo*, contending that the lower court had gravely misdirected itself in dismissing the special plea.

13. The appellant submitted that the trial court's refusal to uphold the special plea was a fundamental error, particularly in light of the undisputed fact that the respondent was not, at the time of instituting the proceedings, a registered legal entity under both the Public Accountants and Auditors Act and the Chartered Accountants Act. It contended that the

respondent's registration had lapsed on 30 June 2023 and had not been renewed, thereby stripping it of the legal capacity to initiate litigation.

14. In response, the respondent raised a point *in limine*, arguing that the appeal was fatally flawed as it sought to challenge an interlocutory ruling that was not final and definitive. It referred to the order of the trial court as a simple interlocutory order not appealable at law. It further argued that besides being fatally defective, the appeal was mischievous and was designed to simply frustrate and delay the finalisation of the matter.

15. On the merits the respondent denied the characterisation of itself as a juristic person, asserting instead that it operated as a sole proprietorship operating under the trade name "Deridon Chartered Accountants." It maintained that the right to sue resided in the proprietor, Mr Derrick Chikura, a duly registered chartered accountant, and that, as such, there was no statutory requirement for the trade name itself to be registered with the Public Accountants and Auditors Board.

DECISION *A QUO*

16. The court *a quo* upheld the respondent's preliminary objection, accepting the argument that the ruling of the trial court on the special plea was not final and dispositive of the dispute between the parties. It reasoned that the decision did not terminate the proceedings but merely allowed them to continue. It further held that had the special plea been upheld the matter would have been brought to a close. It held that the ruling would have been final in effect and thus appealable. It upheld the respondent's point *in limine* and dismissed the appeal.

17. Disgruntled with the decision of the court *a quo*, the appellant noted an appeal to this Court on the following grounds of appeal.

GROUNDS OF APPEAL

1. The court *a quo* erred and grossly misdirected itself at law by holding that an appeal against a determination on *locus standi* is interlocutory when in actual fact such a determination is final in nature.
2. The court *a quo* erred at law and seriously misdirected itself by entertaining and granting audience to a non-existing entity, the respondent, despite being aware of its deregistration, thereby violating the principles of corporate law and *locus standi*.

PROCEEDINGS BEFORE THIS COURT

Appellant's Submissions

18. Mr *Majoni*, for the appellant, submitted that once the trial court made a determination on *locus standi*, the judgment was final and definitive, and appealable without leave. He relied on the decisions in *Toro* v *Vodge Investments (Pvt) Ltd* & Ors SC 15/17 and *Mahlaba* v *Matinginde Holdings (Pvt) Ltd* 2018 (1) 368 (H) for the above proposition.

19. Counsel further submitted that the test for finality, as articulated by this Court in *Blue Ranges Estates (Pvt) Ltd* v *Muduvuri & Anor* 2009 (1) ZLR 368 (S), did not depend on the continuation of proceedings but on whether the ruling had disposed of a dispute or cause of action before it between the parties to finality.

20. Further, he contended that the court *a quo* erred in concluding that upholding the special plea would amount to a final order, thereby conflating the legal effect of the judgment with its procedural consequences.

Respondent's Submissions

21. Mr *Nyatsambo*, for the respondent, contended that the trial court's dismissal of the special plea did not constitute a definitive resolution of the dispute between the parties, as the

substantive cause of action, grounded in an alleged breach of contract, remained unadjudicated. He argued that in terms of s 40(2)(b) of the Magistrates Court Act [*Chapter 7: 10*] (the Act), an interlocutory order is only appealable where it has the effect of bringing the main proceedings to a definitive end. He submitted that the court *a quo* did not therefore misdirect itself in upholding the respondent's point *in limine* and dismissing the appeal.

ISSUE FOR DETERMINATION

22. Central to the disposition of this matter is the question whether or not an appeal arising from the dismissal of a special plea on *locus standi* is interlocutory and therefore not appealable.

APPLICATION OF THE LAW TO THE FACTS

23. A special plea, by its very nature, has long been the subject of judicial emphasis, with courts repeatedly underscoring the importance of pleading it distinctly and with precision. Its procedural and substantive significance lies in the fact that it raises distinct points of law and may be invoked at any stage of the proceedings. It stands apart from the main cause of action and does not address the merits of the matter before the court. Its determination may result in a delay in the proceedings or a decline or a declination of the proceedings. It is for this reason that they are sometimes referred to as self - containing.

24. The present matter turns on precisely that attribute of self-sufficiency inherent in special pleas. The appellant contends that the trial court's dismissal of its special plea, grounded in a lack of *locus standi*, constituted a final and definitive order, thereby founding an automatic right of appeal. By contrast, the respondent, supported by the court *a quo*,

maintained that the order was interlocutory in nature requiring the appellant to have applied for leave to appeal. The respondent's submissions are that the dismissal by the trial court occurred prior to that court engaging the substantive merits, and thus represented an interim step in the proceedings, one not appealable as of right.

25. It is trite that the right of appeal is confined to those orders that are final and dispositive in nature, those which bring definitive closure to the rights of the parties or resolve a substantial and independent segment of the broader dispute. Herbstein and Van Winsen, in *The Civil Practice of the Supreme Court of South Africa* (4th ed., at p 827), offer an invaluable articulation of what constitutes an interlocutory order:

> "An order granted by a court at an intermediate stage in the litigation, settling or giving directions with regard to some preliminary or procedural question that has arisen in the dispute between the parties. Such an order may either be purely interlocutory or an interlocutory order having final or definitive effect."

26. Section 40 of the Magistrate Court Act encapsulates this principle, providing in clear terms that:

> "**40 Appeals.**
> (1) …
>
> (2) Subject to subs (1), an appeal to the High Court shall lie against—
> (a) any judgment of the nature described in section eighteen or thirty-nine;
> **(b) any rule or order made in a suit or proceeding referred to in section eighteen or thirty-nine and having the effect of a final and definitive judgment, including any order as to costs;**
> (c) any decision overruling an exception when the parties concerned consent to such an appeal before proceeding further in an action or when it is appealed from in conjunction with the principal case or when it includes an order as to costs."

27. Section 18 of the Act outlines the nature of the judgments that the Magistrates Court may grant as a result of a trial of an action whilst s 39 deals with rescission and variations of judgments.

28. To the respondent, the import of the foregoing was clear: that an appeal may only be mounted against judgments or orders ancillary to the main dispute if they bear the seal of finality and definitiveness.

29. The respondent however argued that the trial court's dismissal of the special plea of *locus standi* lacked the hallmark of finality, as it left unresolved the substantive claim rooted in an alleged breach of contract through non-performance. Given its interlocutory character, the respondent maintains that the court *a quo* acted in accordance with sound legal principle.

30. That submission overlooks the true character and import of the issue placed before the trial court. A plea directed at *locus standi* is not of the ordinary procedural variety. It does not merely tinker at the margins of the litigation but it strikes at its very core.

31. Order 14 r 6(1) of the Magistrates Court (Civil) Rules, 2019 speaks with clarity and precision on the matter of special pleas:

> "Apart from an exception or motion to strike out, a defendant may raise a special plea, that is, an objection based on a defect that does not appear on the face of the summons, or in response to the plaintiff's opposing papers referred to in r 1(3), if that objection can be adjudicated upon without the necessity of going into the main case (such as, but not limited to, prescription, lack of jurisdiction, *lis -pendens; locus standi, res judicata*, settlement; arbitration, non-joinder or misjoinder, or costs in a previous suit between the same parties still outstanding)."

32. The term "special" in special plea is deliberately employed to distinguish such pleas from general preliminary objections. When a special plea is raised independently of the main proceedings, it embodies a self-contained legal objection. The judicial determination of such a plea is not incidental or provisional; rather, it pronounces with finality upon a threshold issue that either terminates the litigation or definitively delineates its permissible contours. As such, an order upholding or dismissing a special plea bears the

hallmark of finality, it settles a substantive legal dispute between the parties in a manner that is not susceptible to alteration through subsequent adjudication in the same proceedings. It is for this reason that the law regards such orders as final and definitive in nature, and consequently appealable as of right.

33. For completeness, among these are *res judicata*, prescription, and jurisdiction. They stand apart from ordinary defences, in that they are complete answers in themselves, requiring no journey into the heart of the dispute. When upheld, like gates barred at the threshold, they arrest the court's advance into the merits, not for want of substance, but for want of jurisdiction, standing, or time. When dismissed, the ruling speaks with authority, it declares that the door to litigation stands open. In doing so, the court resolves a distinct legal question that no longer lingers in doubt. That resolution, though preliminary in sequence, is final in nature. The orders they produce are not tentative or provisional, they are decisive and conclusive, bearing the weight of final judgment. For this reason, they are appealable as of right, for they settle the fate of the case without ever touching its substance.

34. The same holds true for *locus standi*. It is a gateway requirement in that a party without standing lacks the necessary legal interest to engage the court's adjudicative function. It refers to the legal standing of a party to institute proceedings before a court of competent jurisdiction (See: *Mbatha* v *Tshuma & Ors* CCZ 11/24 at p 8).

35. In the present case, the court *a quo* dismissed the appeal on twin foundations. First, it held that, in the absence of a determination on the merits, the appellant had no standing to impugn proceedings still to proceed. Second, it concluded that the appeal was aimed at an interlocutory order, and thus fell outside the bounds of appealable decisions.

36. Of particular significance is the authoritative pronouncement in *Mahlaba (supra)*, which directly addressed the often-contested question of whether a ruling or order on a special plea, particularly one involving jurisdiction or *locus standi*, can be deemed interlocutory and therefore not appealable. The case concerned a scenario in which the magistrate had determined, at a preliminary stage, that the forum had jurisdiction and that the plaintiff possessed the necessary legal standing to sue. Although the trial was expected to proceed, the court held that these determinations had a final and definitive effect. Drawing from the reasoning in *Blue Ranges Estates (Pvt) Ltd (supra)*, the court observed that once jurisdiction and standing were upheld, those foundational issues would not resurface at trial. The trial could continue, yes, but solely on *quantum*. Thus, the preliminary ruling had disposed of substantive legal issues that went to the heart of the cause of action. The court aptly observed at p 371 B-D that:

> "Applying the test that was used in the *Blue Ranges Estates (Pvt) Ltd* v *Muduvuri & Anor* case to the present matter, it is our conclusion that the ruling or order of the learned magistrate on both the issues of jurisdiction and *locus standi* is of final and definitive effect. It does not matter that the trial was supposed to continue after he ruled that Gweru Magistrates Court has jurisdiction and that the plaintiff has *locus standi*. Even if the trial is to continue between the parties, it will not deal with the issues of jurisdiction or *locus standi* again because these have already been determined. Instead, as the trial continues what the parties will now deal with is how much does the appellant (defendant) owe to the respondent in arrear rentals, if any? In other words, it is only the amount owed which is outstanding. Clearly, the issues of jurisdiction and *locus standi* that have been disposed of have the effect of determining the issues or cause of action between the parties. We are therefore not persuaded by the respondent's argument that this appeal against the dismissal of the points *in limine* was brought prematurely."

37. A similar and instructive stance was taken in *Toro* (*supra*), where the court distinguished between interlocutory procedural rulings and rulings that are definitive in substance, even if delivered at an early stage. There, the dismissal of summary judgment on the basis that the respondent lacked *locus standi* was found to be a conclusive bar to future litigation on the same cause of action. At pp 5-6 the court eloquently stated that:

> "A determination by the Magistrate on the competence of the first respondent to institute eviction proceedings against the appellant is not a finding in adjectival law regulating the manner in which the court is to be approached for the determination of the merits of the matter. It is a final and definitive determination barring the first respondent from instituting proceedings on the same cause of action against the appellant. Such a finding finally and definitively determines the capacity of a litigant to institute or defend the same cause of action before the courts. The court *a quo* failed to distinguish between the Magistrate's dismissal of the application for summary judgment, which could be interlocutory, from the reason for the dismissal which is definitive and finally closes the door to the first respondent due to legal incompetence to litigate over the appellant's eviction. The Magistrate's judgment remains extant. The first respondent could not therefore be entertained by any court on this issue except on appeal or review against the Magistrate's decision that it had no *locus standi* to evict the appellant."

38. These authorities collectively affirm that the dismissal of a special plea relating to *locus standi* is not a procedural detour but a determinative ruling with enduring legal consequences. It fixes the legal posture of the parties for the remainder of the litigation, or bars the claim entirely. Accordingly, the characterisation of such a ruling as purely interlocutory as opposed to interlocutory orders having a final or definitive effect, fails to appreciate the gravitas and legal finality it bears.

39. It is understandable why such rulings might be mistaken for purely interlocutory orders. They do not delve into the primary dispute and are typically addressed before the main trial begins. But as these cases illustrate, it is not the stage at which a ruling is made that determines its character, but its effect. And where, as here, the ruling settles questions that go to the heart of legal competence, its effect is no less than final.

40. It follows, then, that appellate courts are not precluded from entertaining appeals against rulings on special pleas that raise preclusive issues capable of barring further proceedings. The general restraint against intervening in unterminated proceedings loses its force where the matter strikes at the very authority of the court or the capacity of a party to sue. *Locus standi* is not a matter that can be deferred until the end of a trial. To

postpone its resolution is to risk subjecting a defendant to the burden of a full trial at the hands of a litigant who may have had no right to invoke the court's authority from the outset. Such a course would offend both logic and fairness.

COSTS

41. As for costs the Court found no justification why these should not follow the cause.

DISPOSITION

42. To require that the issue of *locus standi* await determination only after the full trial on the merits would be to subject the parties and the court to unnecessary time, expense, and impede the administration of justice. It would potentially allow the courts to entertain suits brought by parties who lack the requisite legal capacity. Therefore, the issue of *locus standi* is rightly treated as a final and definitive issue in its own right, warranting immediate determination notwithstanding the general rule against interference with unterminated proceedings. In this way, the immediate appealability of such rulings aligns with both the spirit and letter of the law.

43. In the result, we ordered as follows:

1. The appeal be and is hereby allowed with costs.
2. The order of the court *a quo* be and is hereby set aside and substituted with the following order:
   "The preliminary objection be and is hereby dismissed."
3. The matter be and is hereby remitted to the court *a quo* for a determination on the merits.

CHITAKUNYE JA : I agree

CHATUKUTA JA : (LATE)

Zimudzi & Associates, appellant's legal practitioners.

Coghlan, Welsh & Guest Legal Practitioners, respondent's legal practitioners.